Aequs (AEQUS)

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Aequs Limited (formerly known as Aequs Private Limited)
Corporate Identity Number: L80302KA2000PLC026760
Registered Office: Aequs Tower, No. 55, Whitefield Main Road, Mahadevapura Post, Bengaluru - 560048, Karnataka, India
T: + 91 080 61348000
Corporate Office: Aequs SEZ, No. 437/A, Hattargi Village, Hukkeri Taluk, Bel agavi – 591243, Karnataka, India
T: +91 0831 4222500
www.aequs.com

February 04 , 2026

To,

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Scrip Symbol: AEQUS BSE Limited
20th Floor, P.J. Towers,
Dalal Street,
Mumbai - 400001.
BSE Scrip Code: 544634

Subject: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results of the Company for the third quarter and nine months of the Financial Year 2025 -26, ended December 31, 2025

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Ma'am,

With reference to the captioned subject and pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the audio recording of the Earnings Conference Call held on January 29 , 2026 on the Unaudited Financial Results (consolidated and standalone) of the Company for the third quarter and nine months of the Financial Year 2025 -26, ended December 31, 2025 .

The above -mentioned transcript will also be uploaded on the Company's website at https://www.aequs.com/investor/

Kindly take the same on record.

Thanking You,

For Aequs Limited
(Formerly known as Aequs Private Limited)

____
Ravi Hugar
Company Secretary and Compliance Officer
Membership Number: A20823

Encl.: as above

Aequs Limited

Q3 FY26 Earnings Conference Call

Event Date/Time: 29/01/2026 , 18:00 Hours

Event Duration: 1 Hour 3 minutes 57 seconds

CORPORATE PARTICIPANTS :

Mr. Aravind Melligeri
Executive Chairman & CEO

Mr. Rajeev Kaul
Co-Founder and Managing Director

Mr. Dinesh Iyer
Chief Financial Officer

Mr. Harish Bang
Vice President , Finance & Accounts

Q&A PARTICIPANT S:

1. Bhavika Singhvi : Nivesh aay

2. Renuka Baid : IIFL Capital

3. Nemiah Sundar : Elara Capital

4. Dev Thacker : Ithought PMS

5. Shashi Kant : Brighter Mind Equity Advisors

6. Sharan P : Unifi Capital Pvt Ltd

7. Jai Chauhan : Trinetra Asset Managers

8. Sahil Sangari : Private Family Office

9. Ashok Kumar : Individual Investor

10. Aashish Upganlawar : InvesQ PMS

11. Rachna P : Individual Investor

Moderator

Good evening, ladies and gentlemen. I'm Karthikeya n, moderator for the conference call. Welcome to Q3 FY26 Earnings Conference Call for Aequs limited . As a reminder, all participants will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note, this conference is recorded.

I would now like to hand over the floor to Mr. Diwakar Pingle from EY. Thank you and over to you, sir.

Diwakar Pingle

Thank you very much, Kartik. Good evening , good morning to all participants on the call, depending on the geographies you've logged in from. We welcome you to the Q3 and nine-month FY26 Earnings Call , the first earnings call for Aequs Limited post the listing. Before we proceed this call, let me remind you that the discussion may contain forward -looking statements that may invo

lve known or unknown , uncertainties and
other factors. It must be viewed in conjunction with our business risks that could cause future result, performance or achievement to differ significantly from what is expressed or implied in such forward -looking statements.

Please note that the results are available on the exchange . In case you have not received the same, please write to us and we will be happy to send the same over to you. To take us through the results and answer your questions today, we have the management of Aequs Limited, represented by Mr. Aravind Melligeri , Executive Chairman and CEO ; Rajeev Kaul, Managing Director ; Dinesh Iyer , Chief Financial Officer , and Harish Bang , Vice President, Finance.

We will start the call with a brief overview of the previous quarter, and then conduct the Q & A session. With that said, I'll now hand over the call to Aravind . Over to you, Aravind .

Aravind Melligeri

Thank you, Diwakar . Good evening, everyone. Thank you for joining this call, the first one after we became a public company. This is an important moment in our journey. The strong reception to our IPO, which was subscribed more than 100 times, reinforces the trust placed in us by our customers, partners and now our shareholders. This also reflects the confidence placed in us by our investors and the dedication of thousands of colleagues across manufacturing clusters in Belagavi , Hubballi , Kopp al in India and units in France and U .S.

As you may know, Aequs began its operations in 2006 -2007 as part of QUEST Global with ambition of building a resilient, scalable institution for the long term. Early customer insights showed that aerospace success would require a fully integrated manufacturing ecosystem. This led us to our first facility in Belagavi in 2009 -2010 . That milestone marked the start of a multi decad al journey to build a world class manufacturing ecosystem in India for the world. The focus was also on maximizing in -country value add.

We originally started with about 20 % in-country value add. Today, we have evolved into a 100 % in-country value add for select parts like aircraft wheels for the commercial aerospace industry. Today, Aequs is the only precision component manufacturer operating within a single special economic zone in India to offer fully vertically integrated manufacturing capabilities in the aerospace segment.

This sets us apart from other manufacturers with selective manufacturing capabilities amongst the suppliers across the world. This unique approach gained global acclaim in 2016 when Airbus conferred Aequs an innovation award in recognition of the unique ecosystem that we have built here in Belagavi . Subsequently, our scale, capabilities, and compliance driven approach in aerospace segment has enabled us to venture into consumer industry with a unique value proposition through manufacturing ecosystems. We strongly believe in partnerships and treating people equally. This led us to rebrand as Aequs in 2014, reflecting our view that all stakeholders are partners in growth.

Aequs in Latin means equal. This philosophy is embedded in our values of transparency, trust, and respect and is institutionalized as the DNA of Aequs . Quite naturally, we have leveraged global partnership s to enhance these ecosystems through joint ventures to gain deep process capabilities. We have partnered with Magellan Aerospace of Canada for surface treatment, with Aubert & Duval of France for forging. More recently, we have partnered with Accel India and Vagus Defense to enter the design and manufactu ring of unmanned aerial vehicles , primarily for India defense requirements.

In consumer segment, we partnered with Brazilian multinational Tram ontina to tap the global cookware market. We have thus emerged as one of the India's largest end -to

-end aerospace suppliers to OEMs and Tier 1s such as Airbus, Boeing, Collins, Safran, SAAB, Honeywell, to name a few. In the consumer verticals, we apply the same engineering discipline to produce precision components for consumer electronics, toys and cookware for global leaders . Many of our relationships with top OEMs in the aerospace segment and clients in the consumer industry span over a decade. This is a validation of a trust that we have built as a reliable partner with scale to meet their growing demands.

Speaking of the industry scenario, aerospace and consumer segment have addressable market at over USD $447 billon and USD $126 billon respectively by 2030. Speaking of the opportunity in the commercial aerospace market.

Moderator

Participants, kindly stay connected while we connect the management back on the call.

Aravind Melligeri

Yeah. Again , I think I will repeat this sentence in case somebody missed. Speaking of the commercial aerospace opportunity for the Indian supply chain compan ies. Currently, India is only 2% of the global supply chain and has about 5% of the global market share and in the future this is going to be 10% of the global market. And our goal, has been to grow India in line with the global market, with the opportunity India provides.

This dynamic offers the tailwinds for India n manufacturing, including cost competitive , skilled engineering talent and rapidly maturing quality ecosystem to capture growing share of global aerospace sourcing, particularly as OEMs diversif y supply chains to leverage India. Coming to th is quarter’s performance , it reflects the strength in our operations, which we will discuss in further detail during the call. The growth was driven by ramp up in the aerospace programs and scaling up in our consumer business.

Our aerospace segment continues to be profitable with a strong order book of USD $814 million . In consumer electronics, the programs we won earlier are now industrialized. We are starting to see the revenues coming through. During the quarter, we received approval from MeitY for PLI incentives under the electronic component manufacturing scheme. Further, we brought on Mattel as a new customer , shipment s started last quarter in Q3 and we started recognition of revenue.

As we step into the new phase as a listed company, our focus remains unchanged, to deepen capabilities, expand our integrated ecosystems to support our global customer programs from India. Thank you once again for your trust and support. I will now hand over to Rajeev Kaul, the Co -Founder and Managing Director, who will walk you through our operations and road map in greater detail.

Rajeev Kaul

Thank you, Aravind , and thank you everyone for joining us today. We are grateful for your time and interest in our company. As Aravind explained to you, we are a precision manufacturing company. We make complex, high -quality components for some of the world's biggest brands, which include almost every aerospace OEMs, Tier 1s and consumer companies, including a large consumer electronics brand. Our manufacturing presence is vertically integrated , meaning we manage the manufacturing process end to end.

It starts from forging, machining, molding, stamping, special process, various secondary processes , and assembly. Everything is done at our three integrated clusters in Belagavi, Hubballi, Koppal , supported by facilities in France and The U .S. This setup has kept us close to customers while at the same time capitalizing on India's position as a value -oriented supplier. Our integrated ecosystem gives a strong operating leverage, shared infrastructure across ecosystems and delivers faster cycles and better cost efficiency. We have built deep process expertise acro

ss forging , machining of titanium, high strength aluminum alloys, steel and super alloys, supported by NADCAP certified surface treatment that meet stringent aerospace standards.

These capabilit ies require years of investment and qualification, making them difficult to replicate and establishing a strong competitive moat for our business. In terms of manufacturing capability, we can handle large long -term aerospace programs as well as short -cycle consumer production at high efficiency. We currently operate around 3.96 million machining and molding hours annually, which is supported by our 424 CNC machine and 161 molding machine s.

Now I would like to explain our two segments in detail, aerospace and consumer. In aerospace, we manufacture critical parts of aircraft for aerostructures , actuation s, engine s, landing gear and interiors with a comprehensive portfolio of 5,221 parts as of December 2025 .

These programs are highly regulated and qualification cycles are long , but once approved they tend to stay with us for years , which gives us visibility and sustained growth. The aerospace industry is also difficult to enter , but has a large runway for entrenched players like Aequs. This vertical contributes around 86% of our revenues during the nine-month period of FY26. Global OEMs are increasingly rebalancing the supply chain and turning to India as a reliable manufacturing partner. And a t Aequs , we are w ell positioned to benefit from the shift , offering a fully integrated global ly certified ecosystem that delivers consistent quality and scalable capacity, supported by strong engineering talent, competitive cost structure and efficient S EZ operations, we have seen meaningful growth in sourcing from major OEMs, including Airbus and Boeing.

In consumer, we apply the same precision and discipline to make components and products for consumer electronics, toys and cookware. While this vertical contributed 1 4% of our revenue during the nine months , we are seeing rapid expansion of demand in this segment. At the end of the quarter, our aerospace order book stood at USD $814 million . During the quarter, we also commenced deliveries to Mattel and the consumer electronics programs awarded earlier have been fully industrialized with revenues now begin to flow. Before I close, I would like to highlight one thing that truly defines Aequs - our people.

We have a strong team of 725 engineers out of total workforce strength of over 2968 , that reflects a significant investment in our engineering capability. They are the reason we take a new product development to commercial production with speed and precision. We will continue to build on this strength. With that, I would like to thank you for your time and will hand over to Dinesh Iye r, our CFO, who will walk you through the financials and the key highlights for the quarter. Thank you.

Dinesh Iyer

Thank you, Rajeev . Good evening, everyone. I'll be taking you through the financial highlights for the quarter and the first nine months of FY 26. For Q3, revenue from operations stood at INR 3,262 million , reflecting a strong 51% growth YoY, which is also the highest quarterly revenue for Aequs Limited, driven by continued growth in the aerospace and consumer verticals. We reported an EBITDA of INR 381 million , up 353% YoY. This translates to an EBITDA margin of 12%.

PAT for the quarter was at INR negative 426 million , but this includes both the impact of the labor code expense and IPO related expenses amounting to INR 167 million . Our adjusted PAT after removing these one-time items would have been a negative INR 259 million .

For nine months FY26, revenue stood at INR 8,633 million , up 28% YoY and once again led by strong momentum in the aerospace and consumer segments. Our EBITDA grew 85% from INR 662 million to INR 1,222

million , improving our EBITDA margin from 10 % to 14% YoY.

We have also been able to reduce our PAT loss from INR 1,115 million in the nine months FY25 to INR 593 million , an improvement of 47% YoY. If we adjust for the one -time labor code expense and IP O related expenses, our adjusted PAT for the nine months would be loss of INR 426 million .

Coming to our JVs, if we include our proportionate share of the joint ventures that we have, total adjusted revenue for Q3 stood at INR 3,554 million , up 49% YoY, while EBITDA grew 228% to INR 449 million , resulting in an EBITDA margin of 13%.

For nine months, revenue including JVs would be INR 9,482 million and EBITDA INR 1,410 million , reflecting a 15% margin with growth in revenue of 29 % and EBITDA growth of 75% respectively. Our aerospace joint ventures continue to deliver strong margins, reinforcing the integrated ecosystem that differentiates Aequs from forging and special processing to machining and assembly.

In Q3, the aerospace business contributed INR 2,685 million , translating to 82% of consolidated revenue. Aerospace revenue grew 38% with segment EBITDA at INR 633 million , which was up 163% YoY. For nine months, the aerospace revenue was INR 7,424 million , which has increased , showed an increase of 26% and segment EBITDA was INR 1,803 million , which reflected a 62% YoY growth.

The consumer vertical reported revenues of INR 577 million in Q3, up 157% YoY. While our EBITDA loss in this segment widened from INR 95 million to INR 159 million , this is primarily due to us being in a scale up phase. As our utilization improves with scale, we expect operating leverage to improve our profitability. For nine months, the consumer segment revenue increased to INR 1,209 million , showing a 39% increase and segment EBITDA fell to INR 310 million (Incorrectly quoted as 159 million on the call) , which was a 9% fall YoY.

Turning to our balance sheet, total assets stood at around INR 30.5 billion in December 2025 versus INR 18.6 billion in March 2025, reflecting IPO proceeds, investment in CapEx for consumer segment and increase in working capital in line with business growth.

Coming to the key ratios, our balance sheet metrics continue to improve.

Net debt to equity reduced sharply to 0.1X as of nine months FY26, reflecting deleveraging following the IPO and improved capital structure. Due to significant capacity additions in consumer segment, fixed asset turnover moderated during the period to 0.84X from 1.3 X. Excluding the capacity addition in consumer segment, which is starting to deliver revenues, the ratio would have been 2.14 X. The ongoing ramp up across consumer programs is expected to improve utilization. Net working capital days stood at 120 days of sales as of nine months FY 26, broadly in line and showing a slight improvement over FY 25, which was 132 days on sales, reflecting the long cycle nature of aerospace programs and inventory build to support growth.

Aerospace segment ROCE was 18.5% for nine-month FY26, reflecting a good improvement over FY25, which was 14.3%. This was driven by the operating leverage. Consumer segment being in a ramp up phase with investments front ended shows negative ROCE, which is expected to turn positive as utilization increases. To summarize, top line growth remains strong, margins are improving driven by operating leverage and our balance sheet is well capitalized to support growth. Aerospace being our ma ture business segment continues to anchor profitability, while the consumer segment will move towards profitability with increased capacity utilization.

Our priorities remain clear. First, continue to grow aerospace segment profitably ; second , drive utilization in consumer segment on the back of customer additions ; and third, continue to look for opportunities in aerosp

ace related to defense. With that, we will now open the floor for questions. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question , please press * and 1 on the telephone keypad and wait for your turn to ask the question. If you would like to withdraw a request you may do so by pressing * and 1 again. Ladies and gentlemen , to ask a question please press * and 1 on the telephone keypad. Wait for a moment while the question queue assembles .

We have the first question from the line of Bhavika Singhvi from Nivesha ay. Please go ahead with your question, ma'am.

Bhavika Singhvi

Yeah. Firstly, many congratulations on the IPO debut and for the good set of numbers. So, basically, I have few questions , one around your business. As an aerospace company, I just want to know the managements' view, on why they entered the consumer segment, especially plastic s and going forward, what's their view on the same? And the second question I have regarding the results . The consumer segment margins of Q3 have been impacted. So , I want to know the reason behind it, even though you are doing well on the electronic side, so why did the margin g et impacted in Q3?

Aravind Melligeri

Back in 2016 -2017 is when we expanded into consumer from aerospace. The thesis at that time was our capability -- if you really look at precision manufacturing and also the requirement on what is needed for the toy s industry was pretty similar with respect to compliance and regulations . In a sense if you look at it, compliance , regulation and safety aspects were similar . And global customers who came to India were looking for a manufacturer with the background of aerospace, automotive, that kind of thing.

And we saw the opportunity to enter this vertical and scale without compromising any on investment possibilities in the aerospace side. And apart from leveraging the high precision capability , which is required for molds and manufacturing and also our assembly , this was an opportunity to scale. It's a fairly large market, it's a USD $80 billion global market for toys and there were no players in India at that point in time significantly contributing and we decided to enter that market.

Later, we decided to expand this into consumer electronics, where the opportunity is much larger. So , as a product portfolio, if you look at it from a capability perspective, we have always been driven on the capability in the manufacturing or machining , we have stamping and plastic injection molding, and in consumer electronics, we are doing stamping, precision machining, and injection molding. So, there is a combination of these capabilities that also comes into the consumer -side business .

That's the reason we believe it's complementary for us to leverage capability of what we learned in aerospace and to apply for consumer . It's a much higher volume business and what has taken 15 years for us to grow in aerospace can happen within few years in the consumer business because of the way the product scales in this industry. And the second point is on consumer electronics. From a consumer electronics performance perspective, we have invested in this product over the last 24 months, and we have just started production.

Moderator

Participants, kindly stay connected while we connect the management back on the call.

Aravind Melligeri

Yeah . Majority of the capacity has come online. And now because of that, our EBITDA looks much worse than what it was in the previous quarter. And as our utilization is today only at 3 1% (Incorrectly quoted as 35% during the call) and as utilization will continue to improve on a quarterly basis, you will see the improving EBITDA n

umbers and profitability. We are working through this early investment phase and focusing on getting utilization up, which will correspondingly translate into improved profitability

Bhavika Singhvi

I have a follow -up question. So on aerospace, you are profitable , but because of the consumer segment, your aerospace margins are getting wiped off. So , is there any plan where you are thinking of doing something in future? Because I think on the plastic side, the consumer segment has been loss -making for a long time . So, is management planning to do something regarding the same? And, the second question is regarding the margins and your ecosystem , I just was a little confused that why your ecosystem advantage is not getting reflected on your margins ? Being an aerospace company, you are making margins less than 20%. I just want to understand, how this ecosystem is helping you on aerospace side ?

Dinesh Iyer

Maybe I'll just take that question and I'll just take the last part of that question. Again, if you see our segment results, if you see aerospace for the nine months reported, it's at 24% margins. So , the margins are healthy there. So that's the margin that you should reflect. In terms of consumer, again, I think what we just mentioned in the introduction is the manufacturing business requires investment upfront. So , if I take consumer electronics or toys, I think the investments have been made upfront. If you see YoY, we are showing a steady growth in revenues. And with the revenue growth, you will get the leverage and the margin should come back.

So, the focus is on two things . One , on consumer electronics, already we have the customer in place. The products are getting industrialized. The demand is there, so we should see revenue growth. And with revenue growth, you'll see a leveraging of whatever investments we have made in terms of CapEx and people that we have bought onboard. It's a similar situation for toys as well. We have the fixed assets in place. So, as the revenues grow, you will see leveraging and we should start getting into a good margin profile. I hope that addresses your question.

Bhavika Singhvi

Okay. Got it. Thank you so much.

Moderator

Thank you. We have the next question from the line of Renuka Baid from IIFL Capital . Please go ahead with your question.

Renuka Baid

Yeah. Hi and good evening, team. Congratulations for the results and IP O listing. My first question is on the aerospace business. Can you help us understand what are the timelines of execution of the order backlog that you have shared in terms of number of years? And also, if you can share with us the guidance for fiscal 26 and if any, you have for fiscal 27 for this point in time? That's the first question on aerospace .

On consumer part of the business, it would be helpful if you can help us understand how is the order book with the key customers on the consumer electronics part of the portfolio, which you recently added. What is the road map to scale the revenues in that segment? You did highlight that the segment earning profitability is contingent on the improvement in utilization level. So, this is the order book that we have in your view . By when are we expecting the business to breakeven and turn profitable? And what is the kind of CapEx requirement in this business that you're forecasting for the next 12-18 months?

Dinesh Iyer

Thank you. For the first question in terms of order book, again, as mentioned, the order book is USD $814 million . We expect this to get delivered over the next five years. So , this order book is there upto about 2031 . Obviously, we continue to bring new orders, so this is not a static number. But the number of USD $814 million will be delivered between now and 2031 as the project s start scaling up.

Renuka Baid

So, we

can consider this as the TCV value , right ?

Dinesh Iyer

Yes. This is the TCV, total contract value. That's correct.

Renuka Baid

Sure. Thank you.

Dinesh Iyer

On the consumer electronics, again, in terms of order book, typically, the structure with the customer is that we build capacity based on demand that they project. So, typically, the way it works they have a certain demand. We work with them to build the c apacity to start to fulfill that demand, which is why I said the demand is already there and where you'll start getting the ramp up in revenues. So , there is no order book as such, but the way they work with their contract manufacturers, they build the cap acity to meet their demand.

Renuka Baid

So based on the indicative demand ramp up on target that you have from the customer. In your view, how should we look at the growth on volume scale up in this business and at what utilization levels, in your view, would the consumer business be turning profitable or breakeven and any timeline should we have for the same?

Dinesh Iyer

See, timelines, I think, I mean, we'll , we'll have to see as it goes. I think today we are seeing a growth in the quarter. What I can say is the capacity that we have built is already fully committed by the customer. Now it's the question of how our ramp meets that requirement. So , there's no issue of demand. It's only our ability to scale at a quicker pace that will meet the demand.

Renuka Baid

Yeah . And due to the ongoing memory chip price hike and availability shortages, have you seen any volume impact or probably since we're in the early phase of ramp up, we are broadly unaffected by some of these macros here?

Aravind Melligeri

Just to give you a little bit of a broader perspective on this , the products have been qualified in consumer electronics, both production and commercial shipment have started . The customers are happy with the way we are and in fact, they have asked us to increase our capacity. So , with that combination, you know, there's no issue with the market share perspective, volume perspective , because we are very small percentage of the overall market share of the customer . And so , we don't see that as an issue at this point in time.

Renuka Baid

And second question would be, given that India has now signed an FTA with EU and we also have we have a French unit there. So , in any way, do you think our portfolio tends to benefit on any import of certain components coming up for Europe, especially on the aerospace part of the business?

Aravind Melligeri

Aerospace did not have any kind of tariffs between EU and India. It has been Zero. And whereas consumer toys have certain tariffs, certain products have. Consumer electronics typically don't ship to Europe. And, obviously, since our contracts are always ex works or delivery duty unpaid. Customers typically bear the duties. And in that situation we become more competitive and the tariff, whatever the 4-5% in there, goes to 0 in those areas.

Renuka Baid

Correct. Got it. And lastly, to close, would you like to share any guidance on revenue margin for Fiscal 26 or anything in Fiscal 27 at this point in time?

Aravind Melligeri

No, Renu ka. Not at this time.

Renuka Baid

Sure. Thank you, and best wishes to you.

Aravind Melligeri

Thank you.

Moderator

Thank you. We have the next question from the line of Nemish Sundar from Elara Capital . Please go ahead.

Nemish Sundar

Yes. Congrats on a very healthy set of numbers on growth. So just a few questions. So , on the order pipeline and on order book , you highlighted USD $814 million is the current order book in aerosp

ace . Just wanted
to understand how would the ramp up in order book be, is there any order pipeline that we could work with for the next 1-2 years or the upcoming quarters or how would we go about that? Any indication?

Aravind Melligeri

Yeah , this is a constant process. Our sales team is upfront in customer engagements, and our account managers are continuously working with customers. The RFP pipeline continues to progress, and we convert some of these into contracts every quarter, which then get added to our order backlo g. And that's what we'll communicate every quarter ly basis , you know, what our current order book looks like. And so, you'll see that continuous update on quarterly basis. And it's a continuous process. Every quarter, it moves, depending on what is executed plus what is signed up.

Nemish Sundar

Okay. So , it could be in tandem with the current revenue growth and it would move along the same lines. Is that a fair assumption?

Aravind Melligeri

Yeah. I mean , these contracts are anywhere between 5-7 year when we sign new contracts. Some of the contracts signed long back would be ending and new contracts , renewals would have happened , all these combination s will come up. And, obviously, it’s a measure of what would we deliver in next five years.

Nemish Sundar

Okay, sir. And, on the CapEx requirements, so what would be the CapEx that we could assume for this year end for aerospace and consumer if you would like to provide a split of the CapEx?

Dinesh Iyer

So this year, most of the CapEx is already done. There'll only be some more capitalization. So , the spend has happened. Some capitalization will happen in the consumer electronics. But otherwise, we should not see any new CapEx coming in. So, you'll see some higher numbers that are getting into capitalized in Q4. But other wise, there are no significant investment in this year.

Nemish Sundar

Okay. And just my last question on the component manufacturing scheme approval that you have mentioned. So , I just wanted to know for what product or segment, if any particular segment, was this for?

Aravind Melligeri

This is for consumer electronics segment, mechanical enclosures.

Nemish Sundar

Okay. Thank you, sir.

Moderator

Thank you. Ladies and gentleman, if you have a question please press * and 1 on the telephone keypad. Next question from the line of Dev Thacker from Ithought PMS. Please go ahead.

Dev Thacker

Thank you, sir. Congratulations for the listing and thank you for the opportunity. So , what would be our wallet share in absolute terms per aircraft, maybe the narrow body ones? And going forward, what could be the growth in this, per aircraft?

Aravind Melligeri

Look , we are not currently disclosing the exact content for aircraft at this stage. Obviously, you know, I can qualitatively say that Airbus A321 has significant content on an overall revenue perspective for us, and the Airbus A320 family for us a t Aequs . And, narrow body overall is generally the largest revenue share what we have today. And it continues to be because the volumes are largest in the industry.

Also growth is the highest in the single aisle market, which is predominantly Airbus A320 and 737. Both are growing in volume , so that will continue to have a larger share for us also and winning opportunity also for us. But having said that, we have enough content of long range, both on 350, 787, 777, 777X and that's the overall narrative I can provide.

Dev Thacker

Okay. Got it. Could you provide a mix of, like, what could be the onetime delivery part and what could be the repeat business parts of this?

Aravind Melligeri

We don't do any one-time delivery parts at all. What we do everything is

under long -term contract.

Dev Thacker

No. As in, what could be for fresh aircraft s and what could be for the MRO business?

Aravind Melligeri

Aftermarket ? We don't really pitch that because everything we deliver is under contract to the OEMs or tier one. And it's left to them, and we have no differential pricing at least out of India. We do a l ittle bit, I would say our French facility, where we segregate between MRO , aftermarket and OEM. So, there we would have some content with differential pricing and so that's how it works.

Dev Thacker

Okay, sir. And on the consumer electronics side, is there any, change in capacity for enclosures, if I'm not wrong, we had 10,000 per day capacity. In most cases, we had 4,000 per day kind of capacity. Is there any change in that? As you said, capitalization is still yet to blend. So , what could be the final capacity for that?

Aravind Melligeri

We have no comment on that specific activity question.

Dev Thacker

Okay. Got it, sir. Thank you. All the best, sir.

Moderator

We have the next question from the line of Shashi Kant from Brighter Mind Equity Advisors . Please go ahead.

Shashi Kant

Thank you, sir, for giving me the opportunity. My first question is if you could please provide us with a client wise breakup of revenue . I mean, from Boeing, Airbus .

Aravind Melligeri

We don't provide that split.

Shashi Kant

Okay. Sir, the next question is recently we have observed many Indian groups are trying to build commercial aerospace manufacturing in India , so how are we are seeing that opportunity?

Aravind Melligeri

Look, we will be happy to supply to anybody who does commercial aerospace or aircraft build . We have no issue with it. Ultimately, these are all approved by the OEM. All these designs are not done in India, these are existing designs getting built in India. So, if we are supplying that original design to the OEM , those same parts will end up coming here for supply, if they set up a facility here. So , it just translates .

Shashi Kant

And, how we are seeing the opportunity in the defense, the manufacturing in India?

Aravind Melligeri

Look , we have capacity to support anyone . In the defense side of it, we would like to be more of a system level contributor. That's why we announced a joint venture partnership with Accel and Vagus Defens e to get into the UAV market design and manufacturing . We would like to play at a system level in that segment, in the India defense segment specifically. We do support the defense activities in France and U .S. locally also.

Shashi Kant

Okay. Thank you, sir. That's all from my side.

Moderator

Thank you. The next question from the line of Sharan P from Unifi Capital Private Limited. Please go ahead.

Sharan P

Yeah . So, my question is on the consumer side. On the consumer side, we have toys and electronics, right? And cookware, where we are now in a JV. So, my question is how much of the cost mix for this quarter, and over the nine months, would be from toys and fro m electronics?

And the second question is from a toys perspective. I heard you say that you are seeing increased opportunities and new customers for the toys business. How is that going? And how is Hasbro's business currently, as it had dipped last year, but we are now s eeing that Hasbro is planning to shift again from China to India? So, how is the growth in the toys business?

And the third question is on the electronics business. I understand that once the ramp -up comes, we will start seeing profitability, but roughly how many months or how many quarters do you think it will take to achieve that ramp -up, if you can comment on t hat?

Aravind Melligeri

On the

consumer side you're asking how much is toys versus consumer electronics? We don't give that split because predominantly it is an evolving segment for us. And today I can say that the consumer electronics is a small portion of the overall nine months and we believe it's going to accelerate much faster and it's going to be a significant portion of our consumer business as we go forward. And toys perspective customer basis, we have onboarded Mattel as a new customer , with long-term strategic agreement s signed in and we believe, Hasbro is also growing and we'll continue to grow both of them. That's how we look at it. And we have existing capacity. We are not investing any new capacity in this vertical at this stage.

Sharan P

I get that. Okay. So, when will the revenue kick in .

Aravind Melligeri

We already started .

Sharan P

Oh, already started Okay.

Aravind Melligeri

Q3.

Sharan P

So when would we be break ing even in consumer segment? And when w ill we be achieving the revenue potential which we are aiming at in consumer segment , any rough estimate of how many quarters down the line ?

Aravind Melligeri

We cannot give that exactly at this point in time because our utilizations are going up. Also at the same time, our customers are happy and asking us to increase our capacity. So, we have to bring these factors together to figure out how things will work out . And we will need some more time to get to the answer to that question on timelines .

Sharan P

Okay. So one last question on the aerospace segment, what would be our recurring CapEx? Because it's a growing capital -intensive business, I understand. So , what would be the recurring CapEx, which we would be incurring here in line with depreciation or whether it would be incremental?

Aravind Melligeri

The CapEx in aerospace, you're asking?

Sharan P

Yeah. Because of the capital intensive nature of business we will be recurring it continuously. Whether it will be in line with depreciation or there will be an incremental CapEx on top of depreciation?

Aravind Melligeri

I mean, it depends on the programs we sign up. You know, we have some headroom in the utilization today. And we are at 71 % in India utilization (Incorrectly quoted as 70% on call) . We will approximately work at around 75%. And the CapEx evaluation happens on a continuous basis because there are growth opportunities. The more parts we take and the more programs we take, at this stage it is a fairly good lock for us in the long term. We would like to take on as much as possibl e, and we have the ability to do so.

Sharan P

Okay. So , I understand 75% potential. So , what will be the potential for consumer.

Moderator

Mr. Sharan , I'm very sorry to interrupt you. Could you join back the queue, please?

Sharan P

Yeah, sure. Thank you.

Moderator

Thank you. Next question comes from the line of Jai Chauhan from Trinetra Asset Managers . Please go ahead.

Jai Chauhan

The first question is, what are the typical consumer segment gross margin for toys and electronics ?

Dinesh Iyer

Sorry. We couldn't hear you properly. Can you repeat that, please?

Jai Chauhan

Sir, I asked what are typical consumer segment gross margins for toys and electronics?

Dinesh Iyer

So long term, once we reach an ideal utilization, our margins will be broadly in line with aerospace. So , you can model around that. Just to clarify that, if you see consumer electronics and aerospace, capabilit ies are very similar. Again, the processes are same. It's machining, surface treatment. All of that is similar. So , the margins also will be on similar lines.

Jai Chauhan

Understood, sir. And on the aerospace side, when you say major reve

nue is coming from Airbus, which
product are we exactly supplying to Airbus?

Aravind Melligeri

More than 2,000 -part number s are deliver ed to Airbus, across various divisions of Airbus. Airbus UK, Airbus France, Airbus Germany . We deliver wing components, the fuselag e and other various parts and we also deliver some indirectly through their tier ones like Safran. So, there is a combination of parts, with around 5,000 parts delivered to customers overall, of which over 2,000 are for Airbus.

Jai Chauhan

Understood. Because I think I saw that you are supplying doors to Airbus in your investor presentation and I have heard that Dynamic Industries have also won a huge order for all the doors. So , is it a different program and are you aware of this?

Aravind Melligeri

In fact, we also supply to Dynam ic is also our customer . And we work on a different program.

Jai Chauhan

Got it. Understood. That's it from my side. Thank you.

Moderator

Thank you. The next question comes from the line of Sahil Sangari from Private Family Office . Please go ahead.

Sahil Sangari

Hi, sir. How are you? So I believe that Aequs is also a part of the Apple supply chain, the Apple system for watches and the MacBook. So where exactly are you placed right now in the whole agreement? And have you started supplying items to them? And is it permanent contract which you have with them?

Aravind Melligeri

Look , in the consumer electronics industry, pretty much we supply components . As mentioned earlier, we are a part of the ECMS scheme, which is recognized for the mechanical enclosures and that's a core area for us. It's a mechanical component we supply to the consumer electronics industry. That's all I can comment at this point in time.

Dinesh Iyer

And capacity that we have built is underwritten. So , in terms of demand, there's no concern.

Sahil Sangari

Got it, sir. Thank you.

Moderator

Thank you. Next , we have a follow -up question from Bhavika Singhvi from Nivesha ay. Please go ahead.

Bhavika Singhvi

Yeah. Thank you so much for the opportunity . Basically , I want to understand the margin breakup, because in consumer, you have three different verticals , like consumer electronic, plastic, consumer du rables . So, can you give the bifurcation of the approx margin, like how much the particular segment is contributing? And the other question is on aerospace, because we know that in aerospace, even though you have like 5,000 plus SKUs, I just want to know if Aequs hold any sole supplier status for some of the components? If you could provide like guidance on that ?

Dinesh Iyer

The first question, again, like we said, as a consumer overall on a segment basis, you should see at a steady state with ideal capacity margins similar to aerospace , which is about 18 -20% EBITDA margin. So that's what you should look for. In terms of the single source, I'll just hand over to Rajeev to address that question.

Rajeev Kaul

With respect to the single source, we are over 90% on the parts what mentioned -- number of parts we mentioned for aerospace.

Bhavika Singhvi

Okay. And I just want to know, because you supply to Tier -2 and Tier -3 suppliers, as well as Tier -1 suppliers, can you provide a bifurcation or breakup of the same? How much comes from Tier -1 suppliers versus Tier -2 and Tier -3 suppliers?

Rajeev Kaul

See, we don’t provide that bifurcation. But generally, if you look at it, it is only Airbus and Boeing , whatever we supply ultimately goes to these two customers. Whether we deliver through Tier -1 or Tier -2 suppliers, at the end of the day, it goes to these two.

Bhavika Singhvi

Thank you.

Moderator

Thank you. Ladies and gentleman , if you have a question, please press * and 1 on the telephone keypad . If repeat. Ladies and gentleman , if you have a question, please press * and 1 on the telephone keypad. The next question comes from the line of Ashok Kumar , an individual investor. Please go ahead.

Ashok Kumar

Hi. Congratulations on a great set of numbers. I have two questions actually. First one is basically during the pre-IPO interviews or the interactions by the management in the public, actually management was guiding for the overall PAT positive will be achieved by the end of FY 27, if I'm not wrong. So , are we still on track to achieve that guidance?

Aravind Melligeri

I mean, look, our overall PAT being positive will be driven by the maturity of the consumer electronics business. And there are some dynamics which are coming in, especially with the customer being happy and asking us to increase the capacity , we need to make that call and evaluate h ow does that play out into our profitability timeline ? That's the reason we earlier said, we need some more time to make that call on the timeline of consumer electronics profitability.

Whereas aerospace continues to improve profitability. Even without consumer electronics, aerospace growth will help overall consolidated profitability, as aerospace continues to grow and losses will start coming down. So, we cannot comment on it at this stage.

Ashok Kumar

Yeah . Understood. So just a follow -up on that. I understand that you are looking for more time to give guidance or clarity because of the positive surprise we are seeing from customers. The only thing is that we need to recalibrate and then re -evaluate the tim eline to achieve that. But this is on the positive side, not on the other side, if I understand correctly?

Aravind Melligeri

Yeah . I mean, things are going well. So, obviously, customers are asking us to look at more capacity, and that has an impact on the timeline because of CapEx, depreciation, and capacity addition .

Ashok Kumar

Okay. Got it. Though we are getting new customer capacity addition request, it may drag the timeline a bit because of the capacity addition and respective depreciation charges , so on.

Aravind Melligeri

Yeah. It is a choice for us, on what path we want to take.

Ashok Kumar

Okay. Can we can we expect this clarity in the next conference call by any chance?

Aravind Melligeri

I can't because that is another element of utilization also, which we are to factor in. Utilization is growing continuously . And we saw last quarter the utilization has grown and we'll continue to work together to figure out what it means.

Ashok Kumar

Okay , sir. Thank you very much. That's all I have. And once again, congrats on the great set of numbers on the growth path .

Aravind Melligeri

Thank you.

Moderator

Thank you. Next question comes from the line of Aashish Upganlawar from InvesQ PMS . Please go ahead with your question.

Aashish Upganlawar

Yes. Thank you for this call. Sir, this is preliminary for me to understand, so my questions would be elementary here. Just wanted to understand what kind of scale of business that we are targeting maybe three years out because one of our divisions, consum er division is in a scale up phase and the other business is in a growth phase. So where do we plan to reach maybe three years out? And as you said, the margins on an optimal utilization basis might be around 18 -20% that one would target. So how far is that , if these two questions can be answered, please ?

Aravind Melligeri

What I can say is our goal is to balance the consumer and aerospace business in a long run . And we want to get there as fast as poss

ible because that's an opportunity we have. That means we are to scale consumer side faster. It'll happen because that's how the nature of the business is. And obviously the margins we are guiding is that consumer and aerospace will have similar margin profiles at a scale. And that's the two points which I want to make. I hope that answers your question.

Aashish Upganlawar

So, sir, just to put that in numbers, I think we've done something like INR 800 odd crores in the first nine months. So , we are on a run rate probably of INR 1200 crores on th e sales, right? So where do we see, I mean, three years out? On a conservative basis, say 25% is the right CAGR to assume for your company or is it likely to be higher? Some direction on that would be helpful to us to understand.

Aravind Melligeri

You know, at this stage we see that we have opportunity to grow north of 20% in our aerospace business, and what we are seeing is what we are guiding. And obviously, consumer can be much faster than that , you know .

Aashish Upganlawar

Got it. So would love to meet you and understand the business in greater detail. This call is good to have a basic understanding but would look forward to meet ing you guys sometime.

Aravind Melligeri

Yeah. Please reach out to our investor relation s team

Aashish Upganlawar

Thank you so much.

Moderator

Thank you. The next question from the line of Rachna P and is an individual investor . Please go ahead with your question.

Rachna P

Yeah . Hi. Congratulations, sir, on a good set of numbers. My first question is on your EBITDA margin profile on your aerospace segment. So , from what I understand is that you are a tier one supplier to OEMs. So, I would expect that the EBITDA margin you would have some sort of a pricing power , like , that's how we understand the industry. But compared to a few other players in this industry we see your margin profile at around 20 -24%. So , is that something which is going to improve going forward or is this the b ase that we should assume going forward?

Dinesh Iyer

For the nine months, our margins have been 24 % and we continue to see the margin range in 20% plus range . I think important thing while we will not comment on other companies, I think important thing to see is the scale at which we are operating, which is significantly larger as compared to the competitors you're referring to. So, we are comfortable at this level and also you have to remember, we have an ecosystem which has multiple capabilities. So , all of those call for investment, but the advantage is that gives us a deeper sort of insight into the customer.

So, our global presence is also a cost structure, but that gives us better traction with the customer. So those are the differentiators. If you see the ecosystem and global presence, gives us an advantage in terms of being a long-term partner to the customer at a really large scale. Just to add again, all our investments are large scale, so we don't do smaller scale investments . So those initial costs will be there, but this gives us a longer -term relationship with the customers.

Rachna P

Okay. But 20% plus is what we should expect even going forward ?

Dinesh Iyer

That's correct.

Rachna P

Got it. So one more question would be that, we have a huge order backlog, but even in the aerospace segment, we are seeing a, you know, 65% utilization , like , could you help understand that , why is the utilization not higher?

Rajeev Kaul

So in regards to the aerospace, currently, our utilization in India is around 71%. Overall, typically, we see utilization of around 75%. That's where we guide our utilization to be reaching .

Rachna P

Alright. Thank you for answeri

ng my questions.

Moderator

Thank you. Next , we have a follow -up question from Dev Thacker from Ithought PMS. Please go ahead.

Dev Thacker

Hello. Thank you, sir. On the aerospace side of things , how should we look at the high value -added products like the landing gear system and engine system? Like, going forward what are the plans on these segments? Like, what could be the revenue share and margin improvement? Any broad idea on this?

Aravind Melligeri

Look , today, majority of our aerospace business is aerostructures. And as part of our stated strategic objective, we are expanding into landing gear and engine components, which we already do, by the way, predominantly in our French facilities, and we also do this in India. And our vertical integrated ecosystem, especially forging and machining combination and a surface treatment is very suited to do the landing gears. And we are engaged with all our landing gear customers and that an opportunity for landing gear customers and that's an opportunity for both our engine and landing gear. And the more vertically integrated we are the better we are on an overall margin perspective as well.

Dev Thacker

Got it, sir. Just one more follow -up. Like, as you said, like, our capacity utilization is at 71 % and stable utilization could be 75%. So , going forward, like, in FY 28, can we see CapEx in the aerospace segment?

Aravind Melligeri

There's CapEx which continues to happen in the aerospace. We had CapEx last quarter, in Q3 as well, and you will see some in Q4 also. It is continuous CapEx. It's not lumpy CapEx in aerospace , because we win orders and look at the capacity over 18 months, but it's required because the lead times to get machines in aerospace is long. It could be as much as one year for us. So, we plan 18-24 months out capacity demand and based on the order book what we have and what needs to be executed and that's how it is done. So, you know, we keep adding machines.

Dev Thacker

Got it, sir. Thank you so much.

Moderator

Thank you. Due to time constraints, that will be the last question for the day. Now , I hand over the floor to the management for closing comments.

Aravind Melligeri

Appreciate all of you joining our first call and look forward to engaging further with all of you during the course of the quarter and in the future. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

Note: 1. This document has been edited to improve readability .
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jun 2026

Aequs Limited (formerly known as Aequs Private Limited)
Corporate Identity Number: L80302KA2000PLC026760
Registered Office: Aequs Tower, No. 55, Whitefield Main Road, Mahadevapura Post, Bengaluru - 560048, Karnataka, India
T: + 91 080 61348000
Corporate Office: Aequs SEZ, No. 437/A, Hattargi Village, Hukkeri Taluk, Bel agavi – 591243, Karnataka, India
T: +91 0831 4222500
www.aequs.com

June 02, 2026

To,

National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, C -1, Block G, 20th Floor, P.J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 . Mumbai - 400001.
NSE Scrip Symbol: AEQUS BSE Scrip Code: 544634

Subject: Transcript of Earnings Conference Call pertaining to the Financial Results of the Company for the quarter and financial year ended March 31, 2026

Dear Sir/ Ma'am,

Pursuant to Regulation 30 and 46 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") , enclosed herewith is the transcript of the audio recording of the Earnings Conference Call held on Tuesday , May 26, 2026 on the Financial Results (Consolidated and Standalone) of the Company for the quarter and financial year ended March 31, 2026.

The above -mentioned transcript will also be uploaded and made available on the Company's website at https://www.aequs.com/investor/

Kindly take the same on record.

Thanking You,

For Aequs Limited

____
Ravi Mallikarjun Hugar
Company Secretary and Compliance Officer
Membership Number: A20823

Encl.: As above

"Aequs Limited
Q4 & Full Year FY26 Earnings Conference Call "
May 26, 202 6

MANAGEMENT : MR. ARAVIND MELLIGERI – EXECUTIVE CHAIRMAN
AND CHIEF EXECUTIVE OFFICER – AEQUS LIMITED
MR. RAJEEV KAUL – CO-FOUNDER AND MANAGING
DIRECTOR – AEQUS LIMITED
MR. DINESH IYER – CHIEF FINANCIAL OFFICER –
AEQUS LIMITED
MR. HARISH BANG – VICE PRESIDENT -FINANCE –
AEQUS LIMITED

Aequs Limited
May 26, 2026

Moderator: Good evening to all the participants on the call, and thank you for joining in. We welcome you to the Q4 and Full Year FY26 Earnings Conference Call of Aequs Limited. Before we proceed, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown uncertainties and other factors. These statements should be viewed together with our business risks, which may lead to actual results and performance differing materially from what is expressed or implied.

To take us through the results and answer your questions today, we have the management of Aequs Limited represented by Mr. Aravind Melligeri, Executive Chairman and CEO; Mr. Rajeev Kaul, Co -Founder and Managing Director; Mr. Dinesh Iyer, Chief Financial Of ficer; and Mr. Harish Bang, Vice President -Finance. We will start the call with a brief overview of the previous quarter and the full year and then conduct the question and answer session.

With that said, I now hand the conference over to Mr. Aravind Melligeri. Thank you and over to you, sir.

Aravind Melligeri: Thank you. Good evening, everyone, and thank you for joining. FY26 has been a truly landmark year for Aequs, defined by strong execution, meaningful business expansion, and our IPO, a transformational milestone that marks a new chapter in our journey as a company.

Today, we stand as a globally scaled precision manufacturer driven by the combined strength of our aerospace and consumer verticals. FY26 has firmly validated our platform strategy, showcasing our ability to execute tenaciously and captures the growth opportunity across our portfolio.

Our focus on execution is clearly reflected in the financials, with our full year consolidated revenue growing by 33% to INR12,304 million. EBITDA grew 43% to INR1,545 million, with the margins expanding to 13%. We capped -off the year with the strongest qu arter in Aequs history, with INR3,671 million in revenue and 47% year -on-year growth.

Crucially, the performance was unified. Both our aerospace and consumer segments delivered strong growth across the board. While our financial performance reflected our current momentum, our strategic focus remains firmly on the future.

This year, we made significant strides in laying the foundation for our next phase of growth, with substantial new investments spanning both our aerospace and consumer segments, firmly anchoring our long -term manufacturing ambitions in India.

In February 2026, we signed an MoU with the government of Tamil Nadu to invest INR1,900 crores for 10 years for a new vertically integrated aerospace manufacturing ecosystem within a new aerospace and defense park at Hosur, across 250 acres in the SIPCOT S hoolagiri Industrial Park. This will be India's first fully vertically integrated aero engine and landing gear components manufacturing ecosystem.

And in March 2026, we signed a second MoU with the government of Karnataka, committing investments of INR2,856 crores over five years across our existing clusters in Belagavi and Hubballi. This covers expansion of our aerospace precision engineering operat ions in Belagavi

and significant capacity enhancement for our consumer segment at our Hubballi manufacturing cluster. Collectively, these investments accelerate our broader objective of making Aequs and India a premier destination for global aerospace and consumer precisio n manufacturing.

To help execute on our large -scale ambition s, we are actively deepening our leadership bench. We are pleased to have Ravi Kumar Assudani join us as head of engineering for consumer segment effective Q1 FY 2027 . Ravi brings over 16 years of experience at Apple Inc., where he led global tooling and manufacturing design operations across multiple product lines.

Scaling precision component manufacturing for

global consumer electronics OEMs requires a unique combination of engineering depth and operational discipline, and we continue to enhance both. In our journey of continu ing the expansion of our capabilities, we established an advanced materials R&D ecosystem at IIT Dharwad campus.

The facility will focus on cutting -edge material characterization, failure analysis, and manufacturing process simulation. This partnership reflects Aequs long -term commitment to strengthen India's advanced manufacturing ecosystem through sustained investm ents in research, innovation, and skill development. The collaboration will enhance IIT Dharwad’s applied research capabilities and industry engagements, apart from enabling Aequs to deliver cutting -edge products to its customers.

Now I turn to the financial outlook. As we enter FY27, our financial priorities are clear. First, is to continue to grow aerospace revenues profitably. We have the order book , the capacity and the

customer relationships to support this , which should deliver 25% to 30% revenue growth, with EBITDA margins maintained at 20% at the segment level.
Second, drive consumer utilization, unlocking the operating leverage embedded in our existing asset base. Third, move our consumer EBITDA to break even by Q4 FY27, which will be a major inflection point for our consolidated profitability.
At a consolidated level, we are expecting approximately 45% to 50% top -line revenue growth. More importantly, this growth is highly efficient. We project doubling our operational EBITDA, proving immense operating leverage embedded in our current business model. FY27 is about translating our expanded capacity into significant financial returns. I will let Rajeev walk you through the segment -level mechanics of how our aerospace and consumer divisions have performed and will deliver these numbers.
Before I hand over, I want to take a moment to acknowledge Dinesh Iyer, our Chief Financial Officer, who has informed us of his decision to step down at the end of June 2026 for personal reasons. Dinesh has been an instrumental and exceptional partner to t his organization, and we are grateful for his contribution and wish him very best.
We are in search of our CFO replacement and will communicate the same as soon as he or she is appointed. Meanwhile, Harish Bang, who most of you know, will be in -charge and your single point of contact.
With that, over to Rajeev Kaul, Co -Founder and Managing Director of Aequs.

Rajeev Kaul: Thank you, Aravind, and good evening to all of you. It is a pleasure to speak with you again as we close out what has been a very significant year for Aequs operationally. Our manufacturing footprint spans 2.22 million square feet across three integrated c lusters in India; Belagavi, Hubballi and Koppal, supported by facilities in Cholet, France, and Paris, Texas in the United States.
Our installed annual capacity has grown to 4.70 million, machining and molding hours on an annualized basis. We scaled our manufacturing operations steadily throughout the year to support the new and existing programs closing FY26 with a robust footprint of 434 CNC machines and 179 molding machines. This represents a disciplined expansion of our manufacturing muscle. We evaluate capacity requirements continuously and keep adding based on our requirements.
Turning to our aerospace segment, our operational momentum translated into exceptional financial delivery. The vertical delivered revenue of INR3,040 million in Q4 and closed the full year at INR10,464 million, representing a robust 27% growth year -on-year. But beyond the revenue growth, what is significant is our portfolio expansion.
We added 433 new parts in Q4 alone, taking our total aerospace portfolio to 5,654 SKUs, with a 26% increase in the portfolio since last year. This represents the breadth and complexity of our
engagement with global OEMs. Each of these SKUs represent a rigo rous qualification cycle, a secured long -term contract, and a deep -rooted relationship with our customers acting as a high - entry barrier to others.
As a result, our order book in aerospace stood at robust USD $889 million. We're also actively moving up the value chain into landing gear and engine components, where our integrated forging, machining, and surface treatment capabilities deliver significant competitive advantages . These are higher complexity, higher value products that command better margins and deeper customer relationships.
Moving to our consumer segment. The business is scaling steadily, which is reflected in its growing contribution to our overall top -line. In Q4, consumer accounted for 17% of our total revenue, up from just 5% a year ago. For the full year, its contribution grew from 11% in FY25 to 15% in full year business in FY26.
This growth aligns with a planned transition from pilot production to commercial ramp -up. Based on the increasing requirements from our customers, we are expanding capacity. This will feed directly into our operational targets for FY27. Our primary focus this year will be driving capacity utilization from 23% today to a target of 40% to 50% by the year end.
Talking of our consumer business, as you may be aware, Hasbro has informed us that it has revised manufacturing and sourcing strategy and told us they will stop raising POS with us. While this decision was unexpected, it will not impact the overall growth of the business. We continue serving other equally large and strategic customers.
Looking at the broader consolidated picture, the heavy depreciation load from these strategic consumer investments will – keep our overall PAT negative for much of the year. However, as

our consumer volumes ramp -up and our aerospace segment continues its strong performance, we fully expect to see consolidated PAT hit break -even by H1 FY28.

With that, I will now hand over the call to Dinesh Iyer, our CFO, for a detailed review of our financials.

Dinesh Iyer: Thank you, Rajeev. Good evening, everyone. I will take you through the key financial highlights for Q4 and the full year FY26. Q4 delivered INR3,671 million in revenue, our highest quarterly revenue ever. This reflects continued ramp -up in aerospace programs and accelerating production in consumer segment. EBITDA was INR321 million at 9% margin.

The margin compression from Q3 reflects the timing of consumer electronics capacity coming fully online. In Q4, we saw the full run rate of depreciation on consumer capex alongside the full operating costs while the plant is still operating at low utiliza tion. This is the expected profile during the manufacturing ramp -up phase.

Reported PAT for Q4 was a loss of INR541 million. This includes higher depreciation from consumer capex and increased tax provisions on the profit from aerospace segment. Our underlying operational trajectory continues to improve.

For the full year, consolidated revenue grew 33% to INR12,304 million. EBITDA grew 43% to INR1,545 million with margins at 13%, a 100 -basis point improvement from 12% in FY25. Full year PAT was a loss of INR1,133 million. The negative PAT margin reduced from negative 11% in FY25 to negative 9% in FY26, a 200 -basis point improvement.

Including our proportionate share of the joint ventures, consolidated full year revenue was INR13,466 million, up 34% year -on-year with EBITDA of INR1,830 million, reflecting a growth of 42% year -on-year, at a margin of 14%. For Q4, revenue was INR3,984 mi llion with 45% growth year -on-year, with EBITDA of INR417 million, at a margin of 10%.

Coming to detailed segment performance, the aerospace segment delivered a very strong performance, with full year revenue of INR10,464 million, up 27% year -on-year, and EBITDA w

as INR2,813 million, up 76% year -on-year. For Q4, aerospace segment revenue was INR3,040 million, growing 29% year -on-year, and EBITDA was INR1,010 million, reflecting a growth of over 100%.

Aerospace segment ROCE for FY26 was 20%, up from 14% in FY25, which is in line with our expectation, and demonstrates our ability to scale efficiently. The consumer segment contributed full year revenue of INR1,840 million, up 84% year -on-year. The consumer segment EBITDA loss was INR783 million for the full year , a 173% increase year -on-year, which reflects our planned investment to build capacity at scale.

In Q4, the revenue was INR631 million, with EBITDA loss of INR473 million. Q4 was the first quarter where all manufacturing costs hit simultaneously with new capacity that was recently commissioned. The consumer electronics team is moving through the lear ning curve of a new production environment.

This is standard in a manufacturing ramp -up phase. As utilization improves from 23% to our 40% to 50% target for FY27, the depreciation and fixed costs will be absorbed across higher volumes, and margins will recover sharply.

Turning to the balance sheet. Total assets stood at INR26,905 million as of March 31, 2026, compared to INR18,598 million a year ago. This increase reflects the significant capital invested in consumer electronics capacity during the year, increased workin g capital in line with revenue growth, and retained IPO proceeds.

Our net debt -to-equity ratio was 0.23 as of March 31, 2026, an improvement from 0.99x at the end of FY25, which shows that we are well capitalized for the next phase of growth. Fixed asset turnover moderated to 1.18x in FY26 from 1.84x in FY25. This is expected as we have added significant consumer electronics assets that are not yet generating proportionate revenues. As utilization improves through FY27, this ratio will recover meaningfully.

Net working capital days increased to 151 days in FY26 from 132 days in FY' 25, which was primarily driven by growth in revenues. Cash and cash equivalents stood at INR3,015 million as of March 31, 2026, compared to INR609 million at the end of FY25.

Finally, on a personal note, I announced earlier this year that I will be stepping down as CFO at Aequs at the end of June 2026. It's been a great pleasure to serve Aequs through the IPO and in this wonderful journey of becoming a listed company. The busin ess is in an excellent position, well capitalized, growing strongly, and with a management team that is deeply committed to delivering on our promises to shareholders. Thank you.

With that, over to the moderator to open the floor for questions.
Moderator: Thank you very much. We will now begin with the question and answer session. Your first question comes from the line of Nikhil Jain with IIFL Capital. Please go ahead.
Nikhil Jain: So, my question is regarding capex, segmental capex. What is the planned capex for FY27-'28 in both the segments separately? And on the second question, after discontinuation with Hasbro on the toys business, any roadmap of ramp -up expected with Mattel?
Harish Bang : On Capex: In our aerospace segment, we have planned about INR160 crore s approx. And in our consumer segment, we have planned about INR500 crore s approx for the full year FY27.
Rajeev Kaul: On the second question, Yes, we have signed a long -term agreement with Mattel and both sides are fully committed to scaling volumes. We also expect Mattel volumes to absorb the capacity impact from Hasbro. More broadly, we continue to engage with large strategy customers across the consumer segment and remain confident that overall growth of the business will not be materially impacted.
Nikhil Jain: Okay. And sir, any PLI income booked for FY26?
Harish Bang : No. So, FY27 will be our first year where we will be eligible for the PLI.
Nikhil Jain: Okay.

And broadly, your guidance on revenue & margins ?

Harish Bang : So, on aerospace, as Aravind mentioned earlier, we are expecting a growth of 25% to 30% and maintaining EBITDA numbers at about 20% level. On consumer, we see a revenue growth of about 125% to 150%. And Q4 FY27 will be the quarter wherein we will hit EBITDA break - even.
Nikhil Jain: Okay. Thank you. That's it from my side.
Moderator: Thank you. The next question comes from the line of Priyankar Biswas from JM Financial. Please go ahead.
Priyankar Biswas: Thank you for the opportunity to ask this question. Sir, could you please elaborate on whether there was any impact in March and the last week of February due to the West Asia crisis? This may have been on account of airspace closures, as well as the signi ficant increase in air freight costs.
So, would that be a right assessment? And if that had happened, what sort of margin impacts we would have seen? So, what I'm trying to understand is, if this one off the events, let's say, were not there, so what would have been our fundamental margin?
Aravind Melligeri: Well, in the last quarter, we did not see any significant impact from a margin perspective. Our material prices are largely covered under long -term agreements. What we did see were some supply constraints and a slight increase in logistics costs, but in ou r view, these were not material for the business.
We have long -term agreements that takes care of the material. So, logistics side, only thing what we have seen is the expansion of the working capital. We are bringing inventory almost four weeks to six weeks ahead of the time, so that we don't have any p roblem in delivering to our customer commitments in aerospace predominantly. This is mostly on the aerospace side.
And on the consumer side, plastics especially, material prices have shot up. But because we have back -to-back agreement with the customers, that has been a pass ed-through to customers. Therefore, there has not been a significant impact on performance. The increase in inventory and working capital days during the quarter was mainly driven by our need to stock material ahead of requirements.

Priyankar Biswas: So, would it be fair to say that the large build -up of working capital that we saw in fourth quarter, so that is predominantly on aerospace and because of the excess inventory you need to carry, because of the crisis at the moment?
Aravind Melligeri: Yes. And we are taking precautions to do this most probably for another two quarters till we see the stabilization. Because generally the logistics has increased by five to six weeks what we have seen -- sea logistics. Air has gone up by six days to eight days, somewhere in that range.
Priyankar Biswas: Okay. So, let's say if we have some sort of a normalization eventually. So, we should see, let's say, the working capital, let's say, moderate. Would that be a fair assumption

Aravind Melligeri: Working capital has been impacted, right? We saw some of the numbers. We went from 13 2 days to 15 1 days
Priyankar Biswas: Okay. This is just for sake of clarity for everyone. I know you have provided the exports and the

domestic break -up, but I also understand most of your domestic sales are also, sort of, deemed exports or, let's say, domestic dominated. So, what percentage of your overall sales would be, USD -linked, even though the currency is depreciating so fast?

Harish Bang : Yes. So, including deemed exports, it could be about 93% to 94% overall in US dollar.

Moderator: Thank you. The next question comes from the line of Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Hello. Sir, can you help understand what is the current gross block in consumer electronics?

Harish Bang : So, at a consumer overall level, we have a gross block about INR83

0 crore s approx.

Suraj Malu: And you are adding INR500 crores to that?

Harish Bang : That's correct.

Suraj Malu: Got it. And at total consumer electronics, we can expect a 2x asset -- turn at peak utilization?

Aravind Melligeri : So, it should be closer to 1.5 level in the consumer electronics side.

Suraj Malu: Understood. And the last question is, in FY26, in aerospace, we have delivered an EBITDA margin of 27%. And now for next year, we are guiding at 20%. So, just can you help understand the reconciliation?

Harish Bang : So, 27% is the segment EBITDA, which includes other income and it excludes the unallocated corporate costs.

Suraj Malu: Okay. And like to like, what will that be?

Harish Bang : So, we continue to drive 20% EBITDA margin excluding these two elements.

Suraj Malu: Understood. Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Bhavika Singhvi from Niveshaay. Please go ahead.

Bhavika Singhvi: So, basically on the aerospace side, I want to understand that we are delivering quite good margins from last two quarters. And we have also added 1,000 approx parts. So, are we achieving these margins because of a higher share of high -margin products? Also, going forward, can we expect margins to improve as new products are added in the aerospace segment?

Aravind Melligeri: Yeah. I mean, look, this is a normal course of business and complexity of what we do. And we expect this margin to sustain as we grow and our ability to execute more number of parts. And as we increase our vertical integration into engine component side, we do expect some margin expansion. However, aero structures, which currently constitute a major portion of our parts portfolio, are broadly in line with the margins we are delivering today. Our focus remains on maintaining operating margins at around the 20% level.

Bhavika Singhvi: Got it. And on the consumer side, as we see that we have already did good capex, and we are also planning to do capex in FY27. And as I look at the current utilization of consumer, it's 23%. So, can you make me understand why we are going with the, like, additional capex when we are already underutilized at 23%, as we are seeing the additional products getting added in the consumer electronic s, or if you can give me the clarity on that? And also, if you can provide me in terms of what exact ly we are doing on the consumer electronic s side, and what volumes we are making currently, and it can go to at what extent?

Aravind Melligeri: Well, look, the customer wants us to have a meaningful share of their requirements, you know , And together we are committed to scale up the operations and absorb more work in India. And this additional capital is basically, driven by clear customer demand and the opportunity to capture the meaningful share of the customer India manufacturing requi rement.

The current asset base is still in the ramp -up phase, with a 23% utilization, it will go up. And we continue to expand that, mak ing sure that we are going to be a significant supplier to this customer in the country. You know, if we don't do it, then the customer will see some alternates otherwise, because it's important that we scale and deliver their needs.

And so, there is a timeline in which we have to do this. And we will continue to make sure that we are aligned on that. And we are both committed to make sure that where utilization goes up. And that's why we' ve guided our EBITDA break -even in the Q4, as utilizations improve.

Bhavika Singhvi: And what margins we can expect at our optimum utilization from the consumer side?

Aravind Melligeri: In consumer, we have guided the similar margins as the aerospace, overall 20% EBITDA is our long-term goal.

Bhavika Singhvi: Okay. And as I see on the Q4 side, there is a n increase in the other expenses. So, can you give me u

nderstanding why there is a sudden increase in Q4 other expenses? Is there any particular expense which you want to mention?

Harish Bang : So, as Dinesh mentioned earlier, Q4 was the first quarter where all the costs pertaining to the consumer capacity came in, since we commissioned the plant and started commercial production in Q3. So, the increase is across all the expenses what we see in Q 4.
Bhavika Singhvi: Okay. And if you can give me the clarity of ROC E, which can be expected from the consumer segment going forward at optimum utilization with all the additional topics we are doing?

Harish Bang : So, at a steady state basis, I mean, we see expect same ROC Es as we do in our aerospace segment.
Bhavika Singhvi: Okay. That's all from my side. Thank you.
Moderator: Thank you. The next question comes from the line of Praveen Kumar from Equitas Capital Advisors. Please go ahead.
Praveen Kumar: Yes. Hi. Thanks for the opportunity. My question was on the consumer electronic segment. In the earlier call, you had referred to the client asking you to, expand your capacity. But this time around, you are talking about increasing the utilization and, achieving EBITDA breakeven. So, does this imply that over the next few quarters, your focus will be more on ramping up rather than, demanding more from the customer in terms of more product lines, etc .?
Aravind Melligeri: Obviously the focus always is to maximize the utilization. At the same time, we are also investing this year as Harish mentioned , we are investing about INR500 crore s new capital into the consumer business. So, it's a combination. So, we're not changing our objective. Obviously, whatever assets we have, we want to maximize the utilization.
Praveen Kumar: Understood. But just to understand this in more detail, like you're putting already INR500 crore s more capex on top of what you've done. So, looking at your peak utilization of 1.5x, even if I take half of that, just on this INR500 crore s incremental capex, half of that 1.5x should give you closer to INR350 crores kind of number, right? So, I'm just trying to understand, is that the kind of top line that you're likely to see from the consumer electronics part in the next year or so?
Aravind Melligeri: Yeah. I mean, we have guided towards going to 50% utilization,. So, that's what it is in terms of capacity -wise. And our goal is to g row by 125% level this year from a consumer business, predominantly driven by the consumer electronics.
Praveen Kumar: Understood. Thank you.
Moderator: Thank you. The next question comes from the line of Ashish Poddar with Motilal Oswal. Please go ahead.
Ashish Poddar: Yeah. Thank you. Sir, my question is related to the aerospace revenue growth potential. While we are targeting 25% growth in FY27, looking at your order book position, which is roughly around 8 to 9 times of last year's revenue, and we are adding more revenues in terms of engine components and other verticals over the coming years.
So, what kind of growth CAGR can we expect from a longer -term perspective? I'm talking about 5 to 10 years perspective. Can we see the similar rate of 25% CAGR for the next 10 years, or it is not the case? If you can give some clarity, sir? Thank you.
Aravind Melligeri: Yeah. I mean, look, we have given the guidance based on the customer demand and order book. There are not many aerospace companies in the world at our size that are growing at this rate organically. It's a complex business to grow, adding hundreds of components every month, and also adding machines to support that, FAIs and everything. And we feel very strongly this growth rate is achievable, because we have achie ved and we have visibility.

As we expand, regarding this specifically asked about the engine components , that is not going to be

impacting us much this fiscal year. This is a long -term, starting FY28, we'll start seeing some of this coming into the revenue.
So far this year guidance is concerned pretty much what we have, aerostructures focused the business growth coming in, and we'll add some on the engine side, but it is predominantly continued to be our core, what has been in Belagavi Aerospace cluster. And the opportunity is there, we see a multi -year opportunity to grow this business at this rate.
Ashish Poddar: At this rate, you are saying?
Aravind Melligeri: Yeah. We don't see any reason. The 20 -plus percent is what we have guided in the past, in the long-term
Ashish Poddar: And with a similar rate of EBITDA margin which you are guiding?
Aravind Melligeri: Yeah. That has been our guidance always.
Ashish Poddar: Okay. Thank you so much.

Moderator: Thank you. The next question comes from the line of Nikhil Chowdhary with Toro Wealth managers LLP. Please go ahead.
Nikhil Chowdhary: Yeah. Hi. Good evening, sir. Thank you for the opportunity. Just, I had two questions. Sir, we've been guiding that consumer margins will be probably heading towards the aerospace margins.
So, just wanted to understand when we see Chinese precedent for our products. We see that probably the margin compression has happened over 8 to 10 -year c ycle. So, just wanted to understand, will we also have a similar trajectory after we achieve those margins?
Second is, wanted to understand that in DRHP had probably flagged that critical equipment 's dependency on China, and lately, we've been hearing some feedback that Chinese have been restricting a lot of equipment 's. So, are we facing any issues in getting those equipment 's? If there's any non -Chinese vendors, like have we found any non -Chinese alternate vendors for the same?
Aravind Melligeri: Look, from the consumer electronics side, we are in the components manufacturing business and we feel confident of our capital and value addition, what we do in these products. We should be able to sustain our EBITDA margins in the long run, once we get maturity in the business. We don't see that as a concern.
And there are suppliers in China who continue to do this. And I don't think we have any concerns about that, our ability to sustain those margins, because it reflects the value -add we do on the products and the components. It's not like assembly business. So, that's what I want to bring the differentiation and communicate to you. It's a highly complex, you know, huge amount of value - add on these products, what we do in -house. So, that's a big differentiator.
And coming down to the China geopolitical issues on equipment, look, we have had, gone through some of these challenges in the past. It continues to evolve over a period of time. At the

same time, we are working with customers always to find alternate different geographic locations, including India.
But it takes time to get the suppliers developed and qualified for this kind of equipment. These have happened over decades in China, and it won't happen overnight here. So, we just need to be going through that process, working with the customer
Nikhil Chowdhary: Thank you so much, sir. All the best.
Aravind Melligeri: Thank you.
Moderator: Thank you. The next question comes from the line of Priyansh Miri with NGP Family Office. Please go ahead.
Priyansh Miri: Sir, I want to understand the split of revenue between the 3 verticals within the consumer portfolio, consumer electronics, plastic and durable s. Can you throw some light on that?
Harish Bang : So, we essentially track at consumer segment level and the numbers what we have given is at the overall consumer level. Consumer durables, is a joint venture, which doesn't get consolidated in the consumer segment since it's a 50 -50 JV.
Priyansh Miri: Okay. Understood. So, next quest

ion is on the plastic s, particularly on the toys part of it. So, do we own the IP for this product or we have some sort of partnership with some other vendors who we share in terms of design in plastic division?
Rajeev Kaul: See, we are in to contract manufacturing. So, we only manufacture for brands. So, we don't own any IPs.
Aravind Melligeri: We might have process es IP, we might have developed certain processes to do some things, but we don't really patent them. That's more of an internal process what we consider.
Priyansh Miri: Understood. Sir, one more question on the long -term strategy. I just want to understand what sort of dependency this consumer whole division has on aerospace. That is one first part of the question.
And second, are we looking into say, 5 year or 10 years down the line this whole consumer portfolio to be spin -off from the core business? Why am I saying this? Because sir, if you have got two separate line of business merging on the same entity type, we get a whole -core holding company discount, right, at overall level, which doesn't let us re -rate to the peers that we have in aerospace. So, I just want to understand the whole strategy behind this, ma king it within the same company?
Aravind Melligeri: Look, we are building a precision manufacturing platform here. The verticals are more of a capability certain specific to products, but we have a common, -- for example, we have CNC machines in both the places, consumer side and aerospace side. So, that's like a precision manufacturing piece. And similarly, injection molding will go both the sides.

So, I think it is not a two business whole -core discount. That is not what we are talking about here. We are trying to build capability here, a platform here, so that we can scale this in the right way.
Priyansh Miri: Okay. Sir, if I understood this correctly, just a follow -up question, the same CNC that is used in aerospace interior that we built in the dashboard, plastic molds, that's the same CNC machine we are utilizing for, say, plastic toys. Is that a fair understanding of the whole process?
Aravind Melligeri: No, CNC machine is just machining happens on each of these products. You got to come and see, at some point in time visit our facilities when next time visit happens, reach out to our investor relations team , then you get to see capabilities, differentiation, and also commonality.
Priyansh Miri: Okay. Sir, product lines are different…
Dinesh Iyer: Yeah. Sorry, just one more clarification to your comment. CNC machine is for metal. So, it's not in toys. Molding machine is for toys, just to clarify.
Priyansh Miri: Yes, sir. Sorry. Yeah, I meant molding machine, sir, like the molding machine that we use for aerospace are different lines altogether when you talk about toys and aerospace line.
Dinesh Iyer: No, again, let me clarify. CNC machines are used for metals, which is what we use in aerospace and consumer electronics, which Aravind just mentioned. For toys, which is plastics, it is molding machines. So, these are very, very different machines. I hope that helps.
What Aravind was clarifying was, the nature of work is precision manufacturing. So, that is the common platform we are building. Industries that are served are aerospace, consumer electronics, and so on. Is that helpful?
Priyansh Miri: Yes, sir . Thank you for the opportunity.
Moderator: Thank you. Your next follow -up question comes from the line of Nikhil Jain with IIFL Capital. Please go ahead.
Nikhil Jain: Sir, I have a question on raw material. So, I'll try to break this down in three parts. Part one, we understand that procurement of raw materials like titanium and superalloy, especially typically involves longer lead time. So, could you please help us qua ntify the usual lead time for sourcing such metals, and how far in advance you typica

lly plan and hold inventory?
On the second part, is there a meaningful difference in procurement cycle and inventory planning between aeroengine and aerostructure business? And lastly, given the West Asia crisis, are you seeing any disruption or taking a different approach to sourcing and inventory buildup compared to the normal strategy?
Aravind Melligeri: Well, okay. Titanium and the superalloy, some of the steels, for example. In fact, right now, steels have one of the longest lead times in the industry. Some of the specific steels as high as -
- we're talking 65 weeks to 75 weeks lead times. And titanium t ypically is 52 weeks lead time.
We have to plan. We can always buy a spot, but the cost is going to be prohibitive. So, it's all about planning and executing.

So, the procurement strategy is all about making sure that customer gives you the right demand and you plan your procurement based on that. And obviously, what you mentioned, your third question of current disruption, geopolitical, West Asia issues, what we are seeing are all impacted. That does disrupt. That's why we always have certain amount of material covered before the beginning of the q uarter.
And in this kind of situation, we proactively cover a little more, maybe 125% of our needs in a quarter, which may spill over to the next quarter demand also. We may have been typically 70% in the past, in the beginning of the quarter.
So, we have to go through some strategy changes to address this. And it costs us working capital, but at least we are making sure the customer deliveries are there and we're protecting our customer needs.
Nikhil Jain: Okay. And sir, the difference between aeroengine and aerostructures raw material usage?
Aravind Melligeri: Look, we are dealing with almost every material today. And most of the time, the material is enabled by the customer in terms of where to buy. So, it's more driven by that. It's just a different process.
Moderator: Thank you. The next question comes from the line of Disha with Sapphire Capital. Please go ahead.
Disha: Yes. Thank you so much, sir, for this opportunity. So, sir, we've seen Q4, the depreciation impact. And given that we're planning for the capex in FY27, how should we look at the overall run rate for depreciation and interest for FY27?
Harish Bang : Yeah. So, Q4, our depreciation was about INR45 crores or INR46 crores approximately. So, of course, that will be the run rate plus the additions during the year. So, there'll be some addition

on the depreciation for the capacity enhancement what we are doi ng in both the segments.
Disha: And on the interest ?.
Harish Bang : Yeah, we will see a reduction in interest as compared to previous year.
Disha: Okay. And you mentioned, sir, that the steady -state margins for the consumer business can be 18% to 20%. Any sort of rough timeline as to when we can reach that and what sort of margins can we target for this business in FY28?
Aravind Melligeri: It's pretty much driven by the utilization. You know, when you get to 50%, our expectation is to get 40% to 50% this year. When you get to somewhere around 75% utilization level , we start seeing the margin levels. So, journey continues.
Disha: Okay. So, this 18% to 20% can be seen at 75% to 80% utilization?
Aravind Melligeri: Yeah.
Disha: Okay. That is it from my side. Thank you, sir, and all the best.

Aravind Melligeri: Thank you.
Moderator: Thank you. The next question comes from the line of Deep Shah from New Vernon Capital. Please go ahead.
Deep Shah: Sir, my first question is if we just look at global consumer electronic supply chain, given the quality control hurdles, how Chinese manufacturers have accelerated over a 15 to 20 -year time frame. If you could just share your capabilities or your rejection rates or yields in

this segment,
and how do you plan to scale up? Will we see significant improvement in FY27 and FY28?
That's my first question
My second question is over a three -year time frame, how should one look at capital? Will we see – I mean, I would assume that you would need probably INR1,500 crores of capex over three years. So, how do we plan to fund this capex? These are my two questions, sir
Harish Bang : So, on the capex front , I will answer. Essentially, for FY27, we will leverage borrowings and also some bit of internal accruals to fund the planned capex.
Rajeev Kaul: See, with respect to your question on the yield perspective, we cannot comment on a specific yield metrics as these are customer confidential. However, the consumer electronic operations are progressing to the normal learning curve. Currently, we are going through a learning curve of production environment and our focus is currently improving utilization, process maturity, quality, and operating efficiency as volume scales.
Deep Shah: Yes, yes. That answers my question. Thank you so much.
Moderator: Thank you. The next question comes from the line of Praveen Kumar with Equitas Capital Advisors. Please go ahead.
Praveen Kumar: Hello. Yes. Thanks for the opportunity again. I had a question on the aerospace segment. In this segment, since you have surface treatment capabilities, which some of your domestic competitors may not have, and which might help you to deliver more integrat ed and larger products, how do you see that helping you in the next few years in terms of winning more SKUs and, expanding this part of the business? Thank you.
Aravind Melligeri: Well, I mean, look, this is a very integral part of our business. In fact, we not only support ourselves, our own requirements, we also support the rest of the market in India. Our joint venture with Magellan Aerospace - API is part of our JVs, and they perform very well, as in line with our overall core aerospace business.
And so we feel very strongly, and this helps us to deliver the new parts at a rate which nobody else does in thein region, what I would say. For that matter, globally, I don't know how many customers, how many suppliers deliver 100 -plus, 150 parts per mont h.
Praveen Kumar: So my question, -- yes sir, go on.
Aravind Melligeri: That's a definite MOAT for us as a company. We have invested over the last 15 years to get there.

Praveen Kumar: So where do you see that translating into, you know, see, because you have this capability to deliver probably faster turnaround time and maybe to get into more integrated larger product parts, etcetera. So where do you see that playing out over the next f ew years? Do you think your customers are beginning to take notice of that and giving you more orders which reflect this capability?
Aravind Melligeri: Yeah. I mean, we are seeing our order book growing faster than what it has done in the past. So it's definitely helping us. And also, we are adding more parts on a quarterly basis. That reflects

our performance, our customers' ability to absorb the volumes, and our ability to deliver at the same time.

Praveen Kumar: Understood. Thank you.
Moderator: Thank you. The next question comes from the line of Bhavey Ahuja with Asymmetric Asset Managers LLP. Please go ahead.
Bhavey Ahuja: I have one question on the consumer segment. So as we got to know that consumer revenue share has grown immediately from almost 5% to 17% from last year as we see. It is obviously a significant scale -up. However, we still see that the segment is still EBITDA loss-making.
And as we understood that Hasbro has existed as a client and recently, we have diversified with Mattel . So given this backdrop, and alongside the capital expansion as it has been done, so like, how confident the management is on the consumer breakeven, which was mentioned today

, like,
is there any path to breakeven ?
Dinesh Iyer: So to your question, I think like we covered in the earlier call, just to reiterate, Q4 was the first quarter where all the manufacturing costs hit us in the consumer electronics business, because the full capacity was commissioned towards the end of Q3. S o Q4 is the first time where the entire cost, all the operational cost, everything has hit us.
This is the standard process in any ramp phase. There is a date on which you start commercial production, all the costs start hitting. As we mentioned earlier, as utilization improves from 23% to 40% to 50%, the absorption of depreciation and fixed costs w ill be significant through the higher volumes and margins will recover sharply, which is why we have guided that in Q4 FY27, we should be at EBITDA breakeven. I hope that addresses your question.
Bhavey Ahuja: Yeah. Thank you so much.
Moderator: Thank you. Your next question comes from the line of Navin Vijay with NS Capital. Please go ahead.
Navin Vijay: Good evening, sir. My question is on the consumer segment. To an earlier participant, you had mentioned that the current gross block is INR830 crores and we are going to add INR 500 crores in the subsequent years. That makes it INR1,330 crores. And you had also mentioned that the asset terms will be 1.5. That gives a turnover of INR2,000 crores in the future. My question is, when do we envisage to hit that number, ballpark, sir?

Aravind Melligeri: Most probably closer to in '29.
Navin Vijay: '29, okay. That was my only question, sir. Thank you.
Moderator: Thank you. Your next follow -up question comes from Bhavika Singhvi from Niveshaay. Please go ahead.
Bhavika Singhvi: Yeah. Thank you for the question. So sir, on the aerospace side, I want to understand that as we have our entity in France and even in USA, and can you tell me how both entities are contributing in aerospace segment? Because as per my understanding, they are underutilized. So, are we expecting these two capacities getting ramped up in coming quarters? If you can make me understand, what exactly are we doing in the France and USA unit s?
Rajeev Kaul: See, in North America -- the US basically is predominantly working for the US ITAR, US defense piece. And in France, we work on engine and landing gear component s. We are not adding anything for any capacity. Actually, our whole focus of adding capacity is only in India. These sites are basically to support us bring -- like France helps us bring our engi ne and landing gear capability.
And North America keeps us doing low -- like there are a lot of programs where there are low volumes and everything and supporting also the US defense side. These are the difference s. So, that is our predominant focus from the manufacturing perspective in these regions.
Rajeev Kaul: In the utilization perspective, typically, in these regions, it is not driven from the machining, the way what we see in India. In these regions utilization is driven by the number of people, people hours that actually drives the utilization. We normally run these utilization, if we see from the capacity is like a single shift basis, that is how we operate. So, the right way to look at the utilization is the peop le hours there.
Aravind Melligeri: Because of the system where the way it has been published, it still measures on the machine hours. That is why it looks lower.
Bhavika Singhvi: Okay, got it. And so, as we say that we are like a wholly vertically integrated facility in the aerospace side, I want to understand that in the aerostructures, where we majorly operate , does this vertically integrated setup provid e a benefit on the margin side, or we are making the same margins as any other player in the same part like aerostructures are making or do we see any improvement in the margin because of our advantage being ver

tically integrated?
Aravind Melligeri: We believe we have a right level of margins for this business. And at the rate at which we are scaling, obviously, if we increase our margin, our win rate might come down. Those are all the competitive environment globally we play. So, it is a commercial call where we feel we are achieving the right level of ROC E, right level of growth, that's the combination which we have, we believe it is the right number where we are. We feel confident to continue to grow at this rate.
Dinesh Iyer: So, also just to add, I think the way you should look at it and just to highlight, when we built an ecosystem, I think the intent is to give a solution to the customer. So, margin is one element, but the ability for the customer to give more and more work in an integrated ecosystem within a

single zone. And we mentioned this in earlier calls also, there are increasing requirements of ESG where the parts should not travel a lot.
All these are solutions where within one zone in Belgaum, we are able to service. And these are the competitive advantages that we get where our right to win business is higher. So, margin is one element for our ability to grow and get deeper into the cust omer.
So, for example, this engine ecosystem that we are building, again, the success that we have had here, gives the customer confidence to help us build there as well. So, what you have to look at it is that this is a very long -term relationship with a very large tail of order book and our ability to win this and increase our share of customer wallet is what is important.
Bhavika Singhvi: Okay. Thank you. That's all.
Moderator: Thank you. Your next question comes from the line of Pranjal Agarwal from Molecule Ventures. Please go ahead.
Pranjal Agarwal: Hi, sir. Thank you for giving me this opportunity. My question is focused on the funding. Firstly, I just wanted to understand this INR2,800 crore s in Karnataka, that is cumulative or it's a new capex that you're planning over 5 years?
Dinesh Iyer: Yeah. It's over the next 5 years investment.
Pranjal Agarwal: Okay. As for consumer division, we are planning INR500 crores this year. Are there any guidance across next 5 years what we are planning on investing there?
Dinesh Iyer: So, I think we can't really split that data, which is why directionally INR2,800 crores plus is the investment. Like we have mentioned, this is across our Belgaum and Hubli clusters. So, like you said, this year, like Harish mentioned earlier also, INR5 00 crore s roughly and INR160 crore s in aerospace. If you see over 5 years, you'll see some similar pattern of investment.
Pranjal Agarwal: Fair enough. My last part would be around funding of this capex. Can you just throw some light on it? Like I understand INR660 crores this year you're planning through internal accruals . How are you exactly you're planning for the rest and how do we plan on going about that?
Harish Bang: So, as I mentioned earlier, we'll be leveraging debt fund this capex along with internal accruals.
Pranjal Agarwal: Can you just give a breakdown on that if possible?
Aravind Melligeri: Let's take that offline.
Harish Bang: Yeah.
Pranjal Agarwal: Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. I now hand the conference over to the management for closing comments.

Aravind Melligeri: Thank you, everyone. I appreciate you taking the time to be a part of this call and please feel free to reach out to our team for any further questions. Thank you.
Moderator: Thank you. On behalf of Aequs Limited, that concludes this conference. Thank you everyone for joining us and you may now disconnect your line.